**BEIERSDORF AG'S BRAND ARCHITECTURE STRATEGIES**

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**Beiersdorf AG's brand architecture strategies**

**Q1a) Beiersdorf's brand portfolio and the brand-product matrix**

Beiersdorf AG is a global company that deals with the production and distribution of skin and personal care products. Being located in Hamburg, Germany, it has grown over the years to be having different brands that basically target different markets. Group's major brand is the Nivea brand which is considered to be one of the most valuable and popular skin care brands in the Global market. According to Larchanka (2022), the distinguishable brands in the company are Nivea that is a skin care and Eucerin, La Prairie, Labello, Hansaplast and florena that targets some segment of the company incurring in personal care and healthcare sector.

The brand-product matrix is a tool that helps understand the company's brand portfolio, they include identifying the various brands and the product categories they belong to (Keller, 2000). This leads to a better appreciation of Beiersdorf's product portfolio and how it positions, overseeing and developing these brands to meet various consumer needs.

| **Product Categories** | **Nivea** | **Eucerin** | **La Prairie** | **Labello** | **Hansaplast** | **Florena** |
|---|---|---|---|---|---|---|
| Body Care | ✓ | ✓ | | | | ✓ |
| Face Care | ✓ | ✓ | ✓ | | | ✓ |
| Lip Care | ✓ | | | ✓ | | |
| Sun Protection | ✓ | ✓ | | | | |
| Anti-Aging | ✓ | ✓ | ✓ | | | |
| Luxury Skincare | | | ✓ | | | |
| Medical Skincare | | ✓ | | | | |
| Wound Care | | | | | ✓ | |

From the brand-product matrix, Nivea is a master brand in Beiersdorf with extensive coverage across body, face, sun, ageless, and lip care brands. This is the strategy where a single brand name is used on different products, thus leveraging brand familiarity among customers.

However, the strategy followed at Beiersdorf for Eucerin is quite distinct from that followed at Nivea. **Eucerin** is a brand focusing more on medical and dermatological aspects of skincare. Based on the analysis of the advertisement, the Eucerin brand targets consumers with sensitive skin and those who have medical skincare requirements, thus using dermatological testimonies as a strategy to gain credibility (Penrat and Wongchestha, 2021).

**La Prairie** is a significant part of the Beiersdorf portfolio in the sense that it is a stand-alone luxury skincare brand. Unlike Nivea and Eucerin, La Prairie is a premium skincare brand with a focus on anti-aging treatments and skincare-related products and services. This is in line with the "House of Brands" approach supported by Aaker and Joachimsthaler (2000), whereby luxury brands such as La Prairie must remain standalone to ensure exclusivity and prevent diluting their premium market positioning (Aaker & Joachimsthaler, 2000).

Another area of focus within Beiersdorf's product line is lip care, in which **Labello** is a key player. In separating Labello from Nivea Beiersdorf developed a vast array of products for lip treatment which has helped it become more specialized in lip balms. This way, Labello retains complete independence and is not associated with other Nivea products that are in different categories of body and facial care products. This standalone approach ensures Labello's brand name is distinct from Nivea's broader skincare division, following Aaker & Joachimsthaler's (2000) principle of not creating cross-category brand confusion (Aaker & Joachimsthaler, 2000).

**Hansaplast** is unique and special in the healthcare and wound care industry where they are specialists in plasters, wound healing, and medical skincare. This category is managed independently from Nivea in order to sustain functional and medicinal image of it. Whereas Nivea and Eucerin brands are linked to personal care, the Hansaplast helps Beiersdorf to sustain its market position in the medical first-aid and wound care category (Penrat and Wongchestha, 2021).

Also worth mentioning is the **Florena** brand, which specializes in the production of natural and organic skin care products. The existence of Florena in Beiersdorf product line shows the company's target market of specific consumer groups that seek for natural and environmentally friendly beauty products.

The brand-product matrix reveals how Beiersdorf successfully utilizes different forms of brand extensions, sub-brands, and corporate brands to control many skincare and personal care segments. Nivea's umbrella brand strategy enables it to occupy a large market share across

categories, leaving other brands, such as Eucerin, La Prairie, and Labello for other niches with a different approach to marketing. Employing a multi-brand strategy enables Beiersdorf to effectively appeal to different market segments, literally for the low-end users and the high-end creams users while making sure that the brands have clear distinctions in the market (Mullo, 2021).

**Q1b) Beiersdorf's brand architecture and the brand relationship spectrum**

Analyzing Beiersdorf AG's portfolio of brands helps to understand how it follows the Brand Relationship Spectrum developed by Aaker and Joachimsthaler (2000). The four brand structures which make up the Brand Relationship Spectrum are Branded House, Sub-Brands, Endorsed Brands, and House of Brands. Each structure represents a different degree of separation between the corporate brand and the individual product brands, so that corporations may employ a complex global brand structure without diluting the brand image.

In the case of Beiersdorf, the key strategic approach is shown to be the Branded House model where Nivea is used throughout the company's categories. For each of these segments it has sub brands under baby skin care of Nivea, while for its dermatology it launches endorsed brands, and has a separate house of brands approach for its luxury business.

The following table compares Beiersdorf's brands on the Brand Relationship Spectrum:

| Brand Structure | Beiersdorf Example | Explanation |
|---|---|---|
| **Branded House** | Nivea (Nivea Body, Nivea Sun, Nivea Men) | Nivea is the dominant brand, covering multiple skincare categories, creating a **unified brand identity** that extends across product lines. |
| **Sub-Brands** | Nivea Q10, Nivea Soft, Nivea Visage | These are distinct **sub-brands** under Nivea, designed to address **specific skincare concerns** while leveraging the Nivea name. |

| Brand Structure | Beiersdorf Example | Explanation |
|---|---|---|
| **Endorsed Brands** | Eucerin (endorsed by Beiersdorf) | Eucerin functions as a **premium dermatological skincare brand**, maintaining autonomy while benefiting from Beiersdorf's endorsement. |
| **House of Brands** | La Prairie (operating independently) | La Prairie is positioned as a **luxury skincare brand**, detached from Beiersdorf to preserve its **prestige and exclusivity**. |

The fact that Beiersdorf should adopt a Branded House structure helps to retain Nivea as the key brand for all the product lines while at the same time, providing a coherent brand communication. This strategy enhances image association and customer loyalty because of the cross-category familiarization of Nivea in body care, sun protection, face care, and skincare for men.

In addition to the Branded House strategy, Beiersdorf uses Sub-Brands to build Nivea to act as a range of specific skincare products and services (Francisco Cantón, 2023). For instance, Nivea Q10 targets on anti-aging while Nivea Soft is designed for regular moisturization of the skin and Nivea Visage is centered on facial care. These sub-brands leverage on the consolidated market image of Nivea which still enshrine a unique identity for each of them.

Unlike the previous strategies, Beiersdorf uses the Endorsed Brand strategy - Linked name for Eucerin by letting the company run autonomously while still being associated with a scientific and credible company. This endorsement approach is helpful in the medical skincare category as it informs consumers that Eucerin's products are based on clinical and dermatological principles.

For the La Prairie line within Beiersdorf, a House of Brands - not connected is applied, which means that La Prairie works independently as a luxury brand. Another reason why La Prairie has no connection with the Beiersdorf brand is that it targets premium, luxury skin care segment where brand image plays a crucial role. By having La Prairie stand-alone from Nivea and other brands, it protects the luxury buyers from associating it with affordable brands that Beiersdorf offers to the mass consumers (Francisco Cantón, 2023).

Specifically, Beiersdorf has developed a sophisticated brand architecture system to manage brands at a multiple level and balance brand value and distinctiveness within its multiple portfolios. The Branded House approach is beneficial for Nivea as it creates a unified brand image, while the Sub-Brand helps to differentiate between different categories in skincare products. The Endorsed Brand strategy with Eucerin increases the scientific approach standards and the House of Brands strategy with La Prairie must cover the luxury segment position. This planning and management approach provides a clear picture on how Beiersdorf manages their brand portfolio to avoid the confusion of brands' position as well as consumer perception (Aaker and Joachimsthaler, 2000).

**Q2) Assessing the Nivea brand using Keller's (2000) brand report card**

Keller (2000), brand report card can be described as a checklist to evaluate the overall brand performance on ten different aspects. All of these attributes are crucial for a brand to be long-lasting, well-received by customers, and ahead of its competitors. Using the framework on branding strategies, Nivea can easily be assessed in terms of potential as well as the areas that make it successful.

Nivea has one of the key competitive advantages, which is a focus on providing valuable, tangible customer benefits. It has developed itself as a credible player with the capacity to offer quality, efficacious, affordable skin-care products. Being a famous cosmetic brand, Nivea offers gentle cleansing and protecting effect good for skin, which attracts customers who want a soft product (Keller, 2000). Additionally, the diversification into sub-divisions including Nivea Men, Nivea Sun and Nivea Q10 has made sure that Nivea keeps meeting the emerging needs in skin care.

Secondly, the company has learnt to shift along various frontiers to meet new trends that consumers and the market bring along. Over time the brand has transformed not only from being just a skincare company but an entire personal care division making the company to remain relevant (Ohn,2024). In this aspect, Nivea has incorporated various forms of technological advancements in skin care including anti-aging in nivea Q10 and sun protection in nivea sun protect and Bronze. In a bid to meet the needs of its customers, Nivea has released biodegradable sunscreens for the skin as well as environmentally friendly packaging to tap into the market deemed environmentally sensitive.

Another factor that has enhanced the success of Nivea has been the correct pricing strategy anchored on consumer value. The pricing strategy used by the brand is the value pricing strategy that involves offering relatively cheaper products despite their quality. While other luxury skin care brands aim at the top end consumers, Nivea was a mass market brand that provided skin care products of top-notch quality but at a fairly affordable price range. Besides keeping prices reasonable, the company has managed to launch such varieties as Nivea Cellular Luminous 630 and Nivea Q10 Plus which are a bit expensive but popular among consumers who are quite willing to pay a premium price for specific skincare needs.

According to Keller (2000), the position of Nivea against its competitors has been a major factor in its steady business success. It has embraced and positioned itself as a safety-conscious and simplicity-oriented skincare line that consumers run to. Below is the perceptual map that shows the Nivea positioning in relation to its competitors within the skincare industry with regards to price and quality.

| Brand | Price | Quality Perception | Market Segment |
|---|---|---|---|
| **La Prairie** | High | Luxury & Premium | High-End Skincare |
| **Estée Lauder** | High | Prestige & Anti-Aging | Luxury Skincare |
| **L'Oréal** | Medium-High | Science & Innovation | Mass & Premium |
| **Dove** | Medium | Moisturizing & Gentle | Personal Care |
| **Nivea** | Medium | Affordable & Trusted | Mass Skincare |
| **Vaseline** | Low-Medium | Basic Skincare | Affordable Skincare |
| **Ponds** | Low | Budget-Friendly | Drugstore Skincare |

Nivea has no ambition in positioning its products in the premium brands range the same as Estée Lauder or La Prairie where it appeals to middle-to-high-end consumers but it offers functional solutions for basic skincare needs. This has made Nivea to have massive universal appeal thus appeal to its users cutting across age and geographic regions, resonating with Keller's (2000) assertion that brands succeed by "delivering consistent, tangible benefits" to a broad audience.

Another key aspect of Nivea's branding strategy has been the consistency of the brand. Following a cohesive visual identity that comprises blue and white colors, simple product design, and dermatologically proven products, the company has remained easily recognizable to the

consumers. Consistency in the adverts and the messages passed to the public complement its position as a leading skin care company. (Keller, 2000)

The structure of Nivea establishes that all its sub-brands and different extensions are appropriately positioned, the portfolio is divided into separate sections; Nivea Body products include body lotion and body cream which are needed for regular body care, Nivea Face products such as cleansers, anti-aging creams and specialty moisturizers addressing various skin issues. (Keller & Sood, 2003)

| Brand Level | Sub-Brand / Product Line | Category Focus | Target Audience |
|---|---|---|---|
| **Master Brand Sub-Brands** | Nivea | Skincare & Personal Care | Mass Market |
| | Nivea Men | Male Grooming & Skincare | Men |
| | Nivea Baby | Baby Skincare | Parents & Infants |
| | Nivea Q10 | Anti-Aging Skincare | Adults |
| | Nivea Soft | Lightweight Moisturizing | General Use |
| **Product Lines** | Nivea Body | Body Lotions & Creams | General Use |
| | Nivea Face | Facial Skincare | All Skin Types |
| | Nivea Sun | Sun Protection & After-Sun Care | Outdoor Enthusiasts |
| | Nivea Lip Care | Lip Balms & Protection | General Use |

This structured arrangement guarantees that each product line is well-defined while at the same time benefitting from the Nivea brand reputation.

Nivea Sun is centered around sun protection and has a variety of sunscreens and after-sun products that not only contain UV-filtering agents but also provide other skin benefits. Nivea Men is a sub-brand that offers its products in specially formulated assortment of grooming products, which includes shaving creams, aftershave balms, and facial washes targeting men. For babies, Nivea Baby has a line of products that have been mild and dermatologically approved to provide the gentle care inherent in the brand (Keller, 2000).

Nivea has done a good balance of marketing initiatives as part of its branding strategy. As seen with the commercial breaks, print ads, social media campaigns, and sponsorships with influencers, the

company also focuses on advertising to consumers through several platforms. It has also engaged in sponsorships like sponsoring sports events and skincare professionals to add credibility to the brand (www.nivea.co.uk. n.d.). However, the more strategic marketing activity of Nivea is that the company is taking advantage of growth opportunities within the e-commerce space for its products.

One of the key facets of managing the brand image of Nivea has been the company's ability to gauge public opinion. Through market research initiatives, Beiersdorf is able to determine what consumer preferences are and what is trending so as to align its products accordingly. The focus on the consumer and his/her needs ensures that Nivea remains pertinent and establishes a wider presence in the market.

This is because a brand needs constant nourishment and backing, and for this reason, Nivea has not relented in their offering of resources to augment their brand image. The management of Beiersdorf makes sure that Nivea has all the financial support it requires in terms of researching, developing new products and creating effective market campaigns.

The company also pays considerable attention to sources of brand equity. Specifically, Beiersdorf takes brand audits several times a year to assess brand attitudes, consumer attitudes, and market developments. The SWOT analysis is collected based on sales data, customers' perception of Nivea and competitor analysis on the market. To this extent, an ongoing process of brand monitoring is vital so that Beiersdorf can effectively make the right strategic changes needed for Nivea to sustainably perform well.

**The role of Nivea as an umbrella brand**

**Q3a) Critical factors in Nivea's brand extension success**

According to Tauber (1988), several elements have contributed to making these brand extensions successful enabling Nivea to enter lines of business other than body care without compromising on its integrity.

The first reason is that Nivea has long been associated with skincare, meaning the public is already familiar with the trademark. Since then, Nivea has positioned itself as a reliable and gentle skincare company that offers quality products. This trust has a positive impact on the extension of the brand

into new categories without much push-back from consumers. The fact that experience has established Nivea as a skin care specialist brand becomes an asset especially as it prepares to penetrate segments like sun care, male grooming, and anti-aging skin care.

Another key success factor that can be identified in its brand extension strategy is the consistency in positioning of Nivea brand. The skincare brand has retained a single theme that remains consistent within each piece promoting skincare and personal care. Whether introducing a new sub-brand, the company has made sure that these new additions reflect the Nivea heritage of producing skin care and nourishing products.

The brand name recognition across a wide range of subcategories is another factor. The company has effectively used its loyal population to market new products since it has an audience that is actively seeking the brand (Tauber 1988). The brand continuity across several categories of skincare and personal care products benefits the company through cross-sell because consumers who require a complete range of products under the Nivea brand will easily access the company's products.

Product differentiation has also been a strategic factor in the brand extension and innovation in the development of new products. Beiersdorf has also continued to carry out research and innovation hence ensuring that any newly developed product addresses new customer needs and is aligned to the current scientific discoveries in skin care (Reckendrees, 2018). It has also applied the concept of product bundling and category synergy in order to increase the success of brand extension of Nivea. The brand introduces associated products that would be appealing to consumers that already use the brand, thus completing the system where the consumer can use multiple Nivea products in one routine.

However, Nivea has been able to expand its markets and adjust to the various markets' favorability owing to its global coverage. Although the brand has remained focused on its image, it has adapted the products to suit the geographical location and climate (Francisco Cantón, 2023). For instance, warm areas, Nivea has developed non greasy formulations especially for the humid climates while in the cold areas, it has come up with products with rich formulations that help in combating dry skin. This capacity to localize its brand extensions while maintaining the central weave of the brand has been vital in the progressive success story of Nivea in the current and different markets.

The extension of Nivea brand has been supported by well-developed strategic marketing and communication plans. The message communicated by this brand positively resonates with the heritage of skincare excellence, which affirms the confidence of consumers in the new products. Besides its marketing communication strategy, Beiersdorf has also strategically managed the networks of its distribution to complement Nivea's brand offshoots. The brand's products are found in supermarkets, drug stores, specialty beauty shops, and various e-commerce sites to ensure the consumers can easily purchase the products. Through a solid retail positioning strategy, Nivea has been able to introduce new product lines every now and then in the market without hugely affecting its kernels of distribution (Tauber 1988).

**Q3b) Challenges in extending the Nivea brand and the risk of brand equity dilution**

The review of Nivea shows that while the process of brand extension is effective, it is not without some risks. Keller and Sood (2003) also argue that brand extensions could have an equally negative effect if not well handled, it may reduce brand equity. Brand dilution refers to the damage that a brand extension brings to its parent brand regarding its image, reputation or quality expectations (Keller and Sood 2003). Nivea has ventured into new categories such as haircare products, deodorants, and even anti-aging solutions to beat its competitors.

Evaluating the weakness of the Nivea shows one of the major problems of brand extension, which is a danger of compromising the brand's key positioning it as a professional skincare company. Entering other categories can extend the company's associations and weaken the carefully cultivated image of Nivea's soft and gentle skin care range. Therefore, if consumers are exposed to too many unrelated categories associated with Nivea it becomes difficult to differentiate its specialty thus leading to improvement on the brand positioning.

Another key factor has been testing consumer acceptance and the propensity to fail in new categories. Nivea has found a lot of success in the personal care and the skincare market but not every marketing extension has seemed to do well. It is also worth noting that an unsuccessful extension can potentially harm the overall brand image and make consumers doubt the quality of the primary Nivea products.

Another issue is cannibalization, which is a problem associated with brand extensions. When a brand launches similar products, which poses a threat to the existing products, the company is likely to face the transfer of customers from one brand to another. In this regard, the introduction of Nivea Soft, Nivea Q10, and Nivea Visage provided internal competition for the skincare portfolio of Nivea. If the Nivea Creme clients shift to using the new Nivea Soft, then Analys has promoted an inefficient product mix because it has not added new business but taken market share from the existing product, Nivea Creme (Keller and Sood 2003).

Another issue that has affected Nivea as it expanded into various geographic locations was the challenge of managing different markets and adapting to the different location-specific consumer preferences. Currently, Nivea triumphs in Western nations due to its focus on traditional skincare, but every region has unique standards, routines, and expectations toward beauty and body products. For instance, while lighter formulations and brightening products have more popularity in Asia, Nivea had to adapt to these preferences in the region. At the same time, the danger of localization is always lurking as fundamental adjustments to product arrangements, packages or communicating could cause confusion among the consumers thus diluting Nivea's global outlook.

Other factors that add to branding risk include domestic distribution and retail plans. Another potential problem with brand extension is appurtenance, whereby overextension leads to cluttering up of the retail outlets and competition over space. Some extent retailers may avoid devoting shelf space to multiple versions of the Nivea brand, which could be detrimental to the brand's exposure. Also, if Nivea's extensions move to lower price-tier brands, the brand image will be affected and may be downgraded. Luxury and premium consumer segments may consider additional extensions as an effort to commoditize the brand, a step that will alienate customers who shop for skincare products in the premium segment or luxury segment.

Another factor associated with brand stretchability is the extent of brand equity dilution that could occur. Certain brands cannot credibly appeal to every category, and as much as consumers might have some level of tolerance towards Nivea's extensions, some can provoke market rejection (Keller and Sood 2003). For example, if consumers see Nivea as a company that deals with moisturizing creams and gentle skin care products, they might not want to buy hair styling products or cosmetics under the Nivea brand since these products are not in line with Nivea's brand image. An unsuccessful expansion into an unrelated category is a threat because it may jeopardize consumers' confidence in Nivea's skincare products.

To address these issues, Beiersdorf has shifted its emphasis on strategic brand management by standardizing their process of Nivea extension products to reflect the standard characteristics of the parent brand (Väyrynen, 2019). Nivea has not overextended when offering add-on products, it has limited itself to products that are closely related to skincare, which include body care products, protection from the sun, and facial treatments. It also does market research and consumer studies before introducing new extensions to be certain that its product development is relevant to consumers. Also, Beiersdorf pays much attention to packaging and brand communication to maintain the Nivea image for its related product portfolio.

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